BLOOM ENERGY CORPORATION

NYSE: BE | Solid oxide fuel cell systems for on-site power, and their maintenance | San Jose, California

Tommy Lau | 6 October 2026 | Initiation of coverage | Independent research

INITIATE AT NO CALL	**Target price:** None (no call)	**Last price:** US$286.65 (NYSE close, 5 October 2026)	**Upside:** Base value US$241 (-16%)

Bloom's customers pay for time. Bloom is paid for it in volume, not in price, and at US$287 the shares already need the volume.

Bloom Energy makes fuel cells that turn natural gas into electricity beside a building. On 24 September I argued that its buyers pay for an earlier switch-on date, not for cheap power. The claim is holding: revenue rose 166% in the second quarter, Oracle plans up to 2.8 GW and AEP has taken most of its 900 MW option.

But the premium does not show in price. Product gross margin, where a price for speed would appear, was 36.8% in 2024, 35.2% in 2025 and 35.6% in the first half of 2026. Bloom earns the time premium as volume, and volume is set by a factory. At US$286.65 the price needs about 3.0 GW shipped in 2028, half as much again as the plant's planned 2 GW.

My call: NO CALL, medium conviction, leaning short. My base case is worth US$241, down 16%. The bear case is US$83 (down 71%) and the bull case US$394 (up 38%). I would revisit above about US$322 or below about US$210.

Stock data
LAST PRICE **US$286.65, NYSE close 5 October 2026; 52-week range US$75.70 to 351.28**
MARKET VALUE **About US$84bn on 294.5m shares; net cash US$0.14bn at 30 Jun 2026**
FULLY DILUTED SHARES **325m with the US$2.5bn 0% notes (convert at US$194.97) and staff awards**
NON-GAAP P/E, MY ESTIMATES **103x 2026E, 65x 2027E, 48x 2028E**
CONSENSUS **EPS US$2.71 2026 (stockanalysis.com), US$4.33 2027, US$7.00 2028 (Nasdaq.com, Zacks); target US$283**
2026 GUIDE (28 JUL) **Revenue US$3.9 to 4.2bn; non-GAAP gross margin about 34%; non-GAAP EPS US$2.55 to 2.85**
BACKLOG, END 2025 **About US$20bn, of which product about US$6bn**
FACTORY **Fremont, about 1 GW a year, doubling to 2 GW by end 2026; room for about 5 GW**
NEXT RESULTS **Q3 2026: date not yet announced; last year 28 Oct**

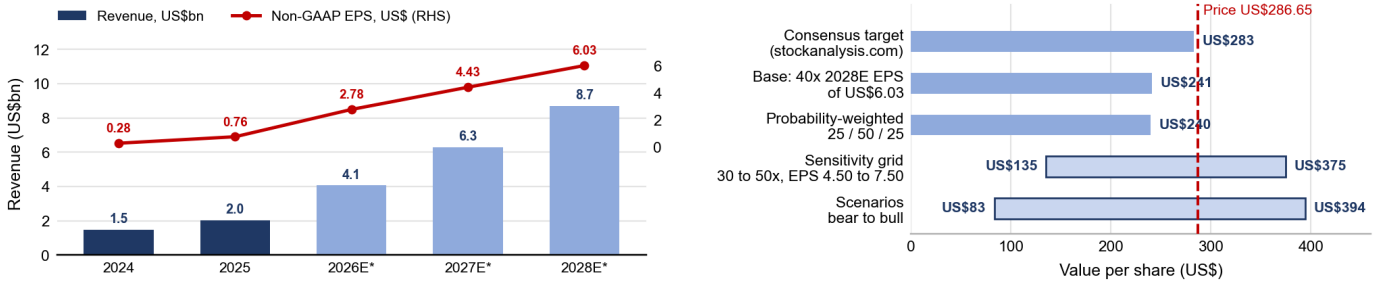
Key financials (non-GAAP basis)

US$ billion unless stated	2024A	2025A	2026 guide	2026E*	2027E*	2028E*
Revenue	1.47	2.02	3.9 to 4.2	4.07	6.30	8.70
Revenue growth (%)		37	100 (mid)	101	55	38
Product gross margin, GAAP (%)	36.8%	35.2%		35.6% (H1)		
Gross margin (%)	28.7%	30.3%	about 34	33.9%	35.0%	35.5%
Operating income	0.11	0.22	0.80 to 0.90	0.87	1.59	2.34
Operating margin (%)	7.3%	10.9%		21.3%	25.2%	26.9%
EPS, diluted (US$)	0.28	0.76	2.55 to 2.85	2.78	4.43	6.03
Consensus EPS (US$)				2.71	4.33	7.00
P/E at US$286.65 (x)		377	106	103	65	48

Fully diluted shares (m)	325	330	334

**2026E to 2028E are my own estimates. Income lines are Bloom's non-GAAP measures, which exclude stock-based pay (US$56m in Q2 2026 alone) and other items; Bloom guides on this basis. Q2 2026 GAAP EPS was US$0.62 against US$0.78. 2026E is the reported first half plus my third quarter (EPS US$0.72, consensus US$0.57) and fourth (US$0.84). Tax is my assumption: 1% in 2026, 10% in 2027, 15% in 2028 as losses carried forward run down. History from Bloom's results releases.*

Two charts: earnings that grow fast, and a value below the price

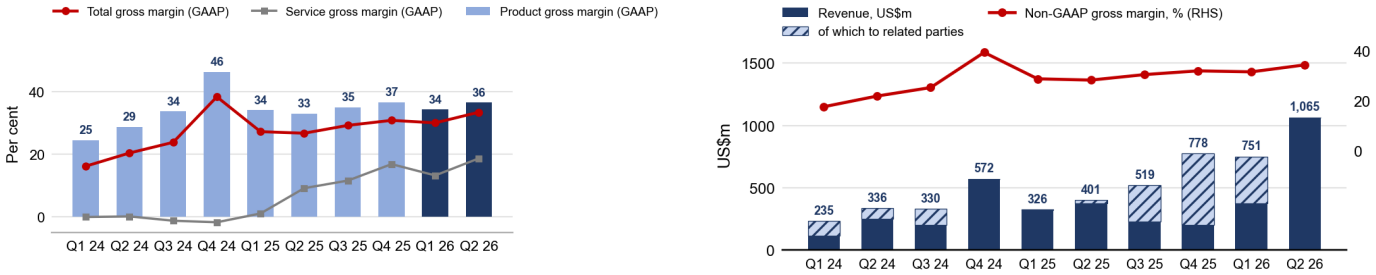


Left: revenue and non-GAAP diluted EPS, 2024A to 2028E; 2024A and 2025A per Bloom, the rest my estimates. Right: value per share from the base case, the probability-weighted cases, the sensitivity grid and the bear to bull range, against the US$286.65 price (red) and the stockanalysis.com average analyst target, retrieved 6 October 2026.

The thesis: the hotspot shop with one van

Go back to the mobile hotspot from the September piece. You pay more per gigabyte because the cable engineer is months away. Now picture the shop that sells the hotspots. Its queue is round the block, yet it charges the same as last year. It sells more boxes, not dearer ones. And it can only sell as many as its one van can deliver.

Bloom is that shop. Its fuel cells arrive on a lorry and switch on in months, while a grid connection can take years. Revenue in the first half of 2026 was 3.2 times the first half of 2024. Oracle signed on 13 April to procure up to 2.8 GW, with 1.2 GW contracted. AEP exercised most of its 900 MW option in January, an order of about US$2.65bn. Brookfield, which finances many of the projects, lifted its framework from US$5bn to US$25bn on 30 June. Customers are paying for speed.



Left: GAAP gross margin on products, on services and in total, by quarter. Product margin has sat at 33 to 37% since early 2025 while revenue tripled; the total rose mainly because products grew to 88% of revenue. Right: revenue by quarter, with sales to related parties hatched (mainly joint ventures with Brookfield from Q3 2025) and the non-GAAP gross margin. Source: Bloom results releases, 2024 to 28 July 2026; product and service margins are derived.

The margin rose on mix, not price

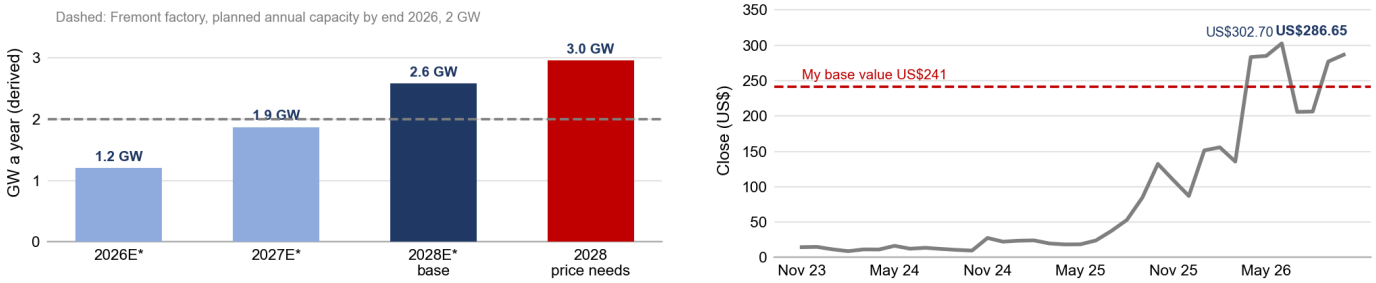
Gross margin rose from 26.7% in Q2 2025 to 33.4% in Q2 2026 while volume more than doubled. The rise came mainly from mix: products, which earn far more than installation and service, went from 74% to 88% of revenue between the two quarters. Product margin also recovered, from 33.0% to 36.5%, after a weak 2025, and service added a little. But over a full year the product margin, where a premium for speed would show, was 36.8% in 2024, 35.2% in 2025 and 35.6% in the first half of 2026, on the revenue and cost lines in Bloom's income statement.

Two smaller points. The service backlog of about US$14bn is contracts that run 5 to 20 years, but the 10-K says customers can end them for convenience each year. And Oracle intends to procure up to 2.8 GW, of which 1.2 GW is contracted. The claim, that customers pay for an earlier switch-on, holds. Margin is a weak gauge of it, because margin never tracked scarcity.

The factory is the ceiling

If the premium is paid in volume, the question is how much Bloom can make. Its Fremont plant makes about 1 GW a year and is doubling to 2 GW by the end of 2026, with room for about 5 GW. AEP's order works out at about US$2.94m a megawatt if it

covers the full 900 MW. At that price, and with products 87.5% of revenue as in the first half, my 2026 estimate is about 1.2 GW, 2027 about 1.9 GW and my 2028 base about 2.6 GW. These are my conversions, not Bloom figures; Bloom does not report megawatts shipped.



Left: revenue converted to gigawatts a year at AEP's US$2.94m a megawatt, with products at 87.5% of revenue (my derivation), against the 2 GW the factory is planned to make by the end of 2026. Right: BE month-end close, November 2023 to the 5 October 2026 close, not adjusted for dividends (Yahoo Finance, retrieved 6 October 2026), against my base value.

So 2028 needs Fremont to grow again beyond 2 GW, which is possible but not yet announced. Management said in July that manufacturing capacity and supply are not current constraints. On 8 July a short seller, Hunterbrook, alleged that Bloom relies on Chinese scandium for its cells; Bloom rejected the report and says supply covers its demand and backlog. The shares fell from US$269.57 to US$254.29 that day.

Variant perception: what the market prices in, and where I differ

At US$286.65 Bloom is worth about US$84bn. That is 106 times the midpoint of its own 2026 earnings guide, 65 times my 2027 estimate and 48 times my 2028. The shares are up 230% since the end of 2025. Each big step came on news of volume: from US$176.67 to US$219.03 on the Oracle expansion, and from US$166.84 to US$207.12 in the two days after the second quarter results.

What the price needs. By October 2027 the market will price 2028. At 40 times, US$286.65 needs 2028 earnings of US$7.17 a share, close to the US$7.00 consensus of two analysts. At my base margins that needs revenue of about US$10.0bn, about 3.0 GW of product at AEP's price, against my base of US$8.7bn and 2.6 GW.

Where I differ. Not on demand, which is real, but on what Bloom keeps from it. The market prices Bloom as though the scarcity of grid power shows up in Bloom's price as well as its volume. Two years of product margins say it does not. Bloom's earnings therefore grow at the pace of its factory and its financing partners, and both are visible and finite. The grid is also slowly getting faster: in January FERC approved a Southwest Power Pool route that studies large new loads and their generation within 90 days.

Valuation, with the working

I value Bloom on non-GAAP earnings per share twelve months out, so on 2028. Revenue grows from my 2026E of US$4.07bn; gross margin less operating costs gives operating income; I add about US$35m a year of interest income and tax it at my rates. Shares are fully diluted: the 294.5m outstanding, 12.8m from the US$2.5bn 0% notes due 2030, 1.3m from the remaining 2029 notes, 16.0m of staff awards, then 1.5% a year more. I use 40 times: below GE Vernova's 47 times, above Vertiv's 32, for faster growth but fewer, larger customers. 40 x US$6.03 = US$241.

Scenarios: three cases, twelve months out

Case	What happens	2028 EPS	Multiple	Value	Change	Weight
Bear	Grid and turbines catch up: growth 30% then 12%, gross margin 33% then 32%	US$3.33	25x	US$83	down 71%	25%
Base	Growth 55% then 38%, gross margin 35% then 35.5%; Fremont expands past 2 GW	US$6.03	40x	US$241	down 16%	50%
Bull	Oracle's 2.8 GW and Brookfield's US$25bn fill: growth 70% then 50%, margin 36.5% then 37.5%	US$7.89	50x	US$394	up 38%	25%
Weighted	**25 / 50 / 25**			**about US$240**	**down 16%**	

All cases start from my 2026E. The bear case is not a collapse: revenue still grows by almost half over two years, to US$5.9bn. It is what happens when the gap Bloom lives in narrows and the multiple falls to a power equipment maker's. The bull case needs about 3.1 GW a year in 2028.

Sensitivity: 2028 EPS against the multiple

2028 EPS	30x	40x	50x
US$4.50	US$135	US$180	US$225
US$6.03	US$181	**US$241**	US$301
US$7.50	US$225	US$300	US$375

Only 3 of the nine cells sit above today's price. Each needs 2028 earnings at or above my base and a multiple of 40 times or more. Every figure is live in the accompanying model, so a change to growth, margin, tax, dilution or the multiple moves the value.

Peer landscape

Company	Ticker	Forward P/E	What they make
Bloom Energy	NYSE: BE	83.5x	Solid oxide fuel cell systems for on-site power, and their maintenance
GE Vernova	NYSE: GEV	47.3x	Gas turbines, grid equipment and wind turbines
Vertiv	NYSE: VRT	31.9x	Power and cooling equipment for data centres
Caterpillar	NYSE: CAT	29.4x	Gas and diesel engine generators, plus construction and mining machines
Siemens Energy	Xetra: ENR	24.5x	Gas turbines, grid equipment and wind turbines
Cummins	NYSE: CMI	15.9x	Engines and generator sets
FuelCell Energy	Nasdaq: FCEL	n/m	Carbonate and solid oxide fuel cells; loss-making, no forward P/E

Forward P/E from stockanalysis.com, retrieved 6 October 2026; Siemens Energy on its Frankfurt listing. Bloom's 83.5 times sits between my 2026 and 2027 multiples. Multiples only; no view on the peers' shares.

Dilution, counted properly

The US$2.5bn 0% notes due November 2030 convert at US$194.97, into 12.8m shares, or up to 19.6m after a takeover. Bloom may settle in cash, shares or both. Holders can convert early only after a quarter in which the shares closed above US$253.46 on 20 of the last 30 trading days. On my count of Yahoo closes, the third quarter managed 17, so early conversion looks unlikely this quarter. Oracle's warrant over 3.53m shares at US$113.28 was exercised in May for 2.15m shares; its US$324m value comes off revenue as Oracle's systems are delivered. Stock-based pay ran at US$56m in the second quarter, almost a quarter of non-GAAP operating income.

Catalysts

When	Event	What I watch
Late Oct or early Nov 2026 (not yet announced)	Q3 2026 results	Product gross margin against 36.5%; any further guide raise; consensus EPS US$0.57
Late 2026	Fremont reaches 2 GW a year	On time, and any plan beyond 2 GW, which my base case needs
Feb 2027	Q4 results and 2027 guide	Growth guided for 2027 against my 55%; year-end backlog against about US$20bn
Feb 2027	Form 10-K for 2026	Customer concentration; service contract terms; megawatts if disclosed
Through 2027	Oracle's further 1.6 GW	Whether 'up to 2.8 GW' becomes contracted

Risks: what would hurt the view

The volume keeps surprising. The bull case, and the main risk to a no call that leans short. Bloom raised its 2026 revenue guide from US$3.1 to 3.3bn in February to US$3.9 to 4.2bn in July. Another step like that, with Fremont expanding fast, puts 2028 near the bull case. **The gap closes.** The bear case and the claim's own falsifier: faster interconnection or more turbine capacity shrinks the window Bloom sells into.

Few, large buyers. One customer took about 73% of second quarter revenue, and two took 44% and 21% of the first half (amended 10-Q), and in 2025 44% of revenue went to related parties, mainly Brookfield joint ventures in which Bloom holds

stakes. **Gas and supply.** The boxes need gas and scandium; a supply or permit shock would slow deployments. **Quality of earnings.** Non-GAAP figures exclude stock-based pay; a short report and a securities lawsuit are outstanding.

What would change my mind

Into a short: a price above about US$322, which would put my base case 25% below it, or a 2027 guide in February of less than 40% growth. **Into a long:** a price below about US$210, or product gross margin of 38% or more in two quarters running, which would show Bloom pricing the time it sells.

The call is wrong if Bloom's 2027 revenue reaches US$7bn or more with non-GAAP gross margin of 36% or more, or the shares close above US$360 or below US$200 by October 2027.

Conclusion

The September piece argued that Bloom sells time, not electricity. The buyers prove it: Oracle, AEP and Brookfield are committing billions for speed. The question is how Bloom is paid for it. Product margin has been flat at about 35% while revenue tripled, so the premium arrives as volume, and volume is set by a factory. At US$286.65 the price needs about 3.0 GW in 2028. My call: NO CALL, medium conviction, leaning short; base value US$241, range US$83 to US$394. Revisit above about US$322 or below about US$210.

Appendix: forecast assumptions

Assumption	2026E	2027E	2028E	Basis
Revenue growth	101%	55%	38%	H2 2026 US$1.05 and 1.2bn, mine; guide US$3.9 to 4.2bn
Gross margin (non-GAAP)	33.9%	35.0%	35.5%	Guide about 34% for 2026; product margin flat
Operating costs, US$bn	0.51	0.62	0.75	Q2 2026 run-rate US$0.50bn a year; R&D and sales rising
Tax rate (non-GAAP)	1%	10%	15%	Losses carried forward; H1 2026 rate 0.7%
Fully diluted shares, m	325	330	334	Outstanding plus notes and awards; 1.5% a year more
Megawatt price, US$m	2.94			AEP: about US$2.65bn for most of 900 MW; my conversion
Target multiple			40x	GE Vernova 47.3x; Vertiv 31.9x; Caterpillar 29.4x

Full workings, with live formulas, in the accompanying model, 2026-10-06_BloomEnergy_Model.xlsx.

Sources

Bloom Energy quarterly results releases furnished on Form 8-K, Q2 2024 to Q2 2026 (28 July 2026), with their comparative quarters, for revenue and cost by line, GAAP and non-GAAP margins, operating income, EPS, related-party revenue, guidance and backlog. Bloom Form 10-K for 2025 for backlog definitions, service contract terms, the 2 GW plan and grid context. Bloom Form 10-Q/A for Q2 2026 (29 July 2026) for the convertible notes, the Oracle warrant, the diluted share count, Brookfield joint ventures, customer concentration and the short report. Bloom announcements of 13 April 2026 (Oracle), 30 June 2026 (Brookfield) and 19 August 2026 (Power Connect); AEP option exercise as reported on 8 January 2026. Consensus EPS from stockanalysis.com and Nasdaq.com (Zacks); multiples and average target from stockanalysis.com; share prices from Yahoo Finance; all retrieved 6 October 2026. Estimates for 2026 to 2028 are the author's own.

About this note

I wrote this note and built the accompanying model independently. It is not a product of any bank or broker. It tests a claim from my journal piece of 24 September 2026, thephysicallayer.fyi/journal/the-product-is-time; all notes and their track record are at thephysicallayer.fyi/research. Figures from company filings are labelled as such; derived figures are marked; the forecasts and view are my own estimates and my own view. I hold no position in Bloom Energy. Personal research, not investment advice.

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